EXECUTIVE SUMMARY

1. Introduction

The Local Government Unit of Lal-lo is a 1st class municipality with a population of 50,755 based on a survey conducted by the Barangay Population Officers as of December 31, 2017. It has 35 barangays spread over 70,280 hectares. It is the fourth largest municipality in the Province of Cagayan in terms of land area.

Lal-lo, historically, was Cagayan Valley's first City. It was then named "Ciudad de Nueva Segovia" by Juan Pablo Carreon in 1581, visited by Juan Salcedo in 1572 and Luis Perez Dasmarinas in 1592. It was the capital of Cagayan up to 1839 and has been the first home of the 15th century image of our Lady of Visitation, now known as Our Lady of Piat.

Today, we have seen changes and countless achievements not only in terms of infrastructure projects but also on institutional and social aspects. This municipality has been a consistent winner on Solid Waste Management, Nutrition, Clean and Green in the Provincial, Regional as well as National level and the Seal of Good Housekeeping by the DILG. During the last quarter of 2016, the LGU was conferred the Seal of Good Local Governance, the highest award given by DILG to LGUs wherein it is the pioneer 1st class municipality to receive such award in the whole province. To include, the CSC RO2 had awarded LGU Lal-lo the Maturity Level 2 in Performance Management System under the Program Institutionalized Meritocracy and Excellence in Human Resource Management (PRIME-HRM). For 2017, the LGU was awarded the Red Orchid Award from the Department of Health for implementing a 100% tobacco-free environment and following the WHO's "MPOWER" framework.

The audit covered the accounts and operations of the Municipality of Lal-lo for the year 2017 and was aimed at determining whether management presented fairly the financial statements of the municipality in adherence to the Philippine Public Sector Accounting Standards, whether prevailing laws, rules and regulations have been complied with, and finds were utilized in the most efficient, effective and economical manner. Financial and performance audit were conducted to achieve these audit objectives.

2. Financial Highlights

The table below shows that the Municipality’s Assets, Liabilities and Government Equity as of December 31, 2017, were P424,961,248.90, P256,782,730.80 and P168,178,518.10, with an increase of 20%, 21% and 19%, respectively from last year’s figures.

On the other hand, income earned and expenses incurred during the year amounted to P211,897,726.03 and P166,383,656.24 which increased by 14% and 11%, respectively from last year's figures.

Particulars	2017	2016	Increase(Decrease)	
			Amount	Percentage
Financial Position				
Assets	424,961,248.90	354,428,862.66	70,532,386.24	20
Liabilities	256,782,730.80	212,866,112.16	43,916,618.64	21
Govt. Equity	168,178,518.11	141,562,750.50	26,615,767.60	19
Financial Performance				
Income	211,897,726.03	185,099,900.24	26,797,825.79	14
Expense	166,383,656.24	150,195,100.96	16,188,555.28	11
Appropriations, Allotments and Obligation				
Appropriations	353,048,385.76	195,024,348.72	158,024,037.04	81
Obligations	180,404,180.15	161,890,158.55	18,514,021.60	11

3. Independent Auditor's Report on the Financial Statements

We rendered an unqualified opinion on the fairness of the presentation of the financial statements of the Municipality of Lal-lo, Cagayan as at December 31, 2017.

4. Summary Audit Observations and Recommendations

a) The Breeding Stocks account amounting to P222,500.00 were not supported with documents showing its existence due to the absence of actual physical inventory report, hence, the balance appearing in the financial statements cannot be verified and its validity cannot be ascertained.

   We recommended that Management instruct all concerned personnel to conduct physical inventory of the breeding stocks and immediately reconcile the accounting records and accordingly effect adjustments in the books, if any.

b) Net Take Home Pay of some officials/employees were below the allowed amount of P4,000.00 per month contrary to the provisions of General Appropriations Act, FY 2017.

We recommended that Management strictly observe the General Provision of General Appropriations Act for FY 2017 which provides a limitation on the net take home pay of officials and employees of the government in the amount not below P4,000.00.

c) Audit disallowance amounting to P420,000.00 was not recorded in the book of accounts after the Notice of Finality of Decision (NFD) was issued contrary to Section 22.6 of COA Circular No. 2009-006 dated September 15, 2009, hence, settlement of these accounts may not be properly monitored.

We recommended that the Municipal Accountant record immediately the audit disallowances amounting to P420,000.00 as receivable in accordance with the provisions of COA Circular No. 2009-006 dated September 15, 2009.

d) Programmed projects funded out of 20% IRA for CYs 2017 and prior years totaling P20,896,152.85 were not implemented at year end thus, the programmed funds was not optimally utilized to achieve social development, economic development and environmental management outcomes in the municipality as provided under DILG-DBM Joint Memorandum Circular No. 2011-1 dated April 13, 2011.

We recommended that the Municipal Government implement projects as planned and address the causes of the delay in the implementation of the development projects in order to maximize the utilization of the funds as intended and ultimately achieve desirable social development, economic development and environmental management outcomes in the municipality.

e) Cash Advances granted for travel amounting to P156,694.00 as of December 31, 2017 remained unliquidated contrary to Section 89 PD 1445 and COA Circular No. 97-002 dated February 10, 1997.

We recommended that Management follow strictly the provisions of Section 89 of PD 1445 and COA Circular No. 97-002 dated February 10, 1997 and require the Accountable Officers to settle immediately their cash advances to avoid the withholding of salaries.

5. Summary of Total Suspensions, Disallowances and Charges

Suspensions and Disallowances amounting to P25,130,000.00 and P420,000.00 respectively, remained unsettled as of December 31, 2017.

Settlement of Suspensions and Disallowances is shown on table below:

Particulars	Beginning Balance (As of January 01, 2017)	This Period January 01 – December 31, 2017 (See B Below)		Ending balance (As of December 31, 2017)
		NS/ND/NC	NSSDC	
Notice of Suspension	P29,056,286.87	-	3,926,286.87	25,130,000.00
Notice of Disallowance	-	420,000.00	-	420,0000.00
Notice of Charge	-	-	-	-
Total	**P29,056,286.67**	**420,000.00**	**3,926,286.87**	**P25,550,000.00**

We recommended Management to settle audit suspensions within the ninety-day period to avoid maturing the suspensions into a disallowance.

6. Status of Implementation of Prior Years' Audit Recommendations

Out of the twelve (12) audit recommendations of last year's report, three (3) were fully implemented, five (5) were partially implemented and four (4) were not implemented as at year-end.